

Russia, China to dominate EU politics this fall

送信者: EG Daily Brief 受信日時: 2026-08-27 21:24

[【メール原文】](#)

Russia's likely escalation in Ukraine and China's coercive economic practices will dominate European politics this fall. The Russia-Ukraine conflict is |||

Daily Brief

[Customize Email Preferences](#)

Russia, China to dominate EU politics this fall

27 Aug 2026 08:17 EDT [Discover more on the Portal](#)

summary

*

Russia's likely escalation in Ukraine and China's coercive economic practices will dominate European politics this fall.

*

The Russia-Ukraine conflict is driving food commodity prices higher, with benchmark prices likely 10%-18% above February levels by mid-2027.

*

Bolivia's new technocratic finance minister signals continuity but faces a difficult path to securing congressional approval of the IMF deal.

*

Mexico's security vetting of Morena candidates risks alienating regional leaders while consolidating President Claudia Sheinbaum's control ahead of the 2027 midterms.

*

Countries and sectors in this edition of the Daily Brief include the US, Bolivia, China, the EU, Mexico, Russia, Ukraine, and agriculture.

the top line

Russia, China—Escalation risks to dominate European politics this fall

*

Russia's budget has breached its planned 2026 deficit, and President Vladimir Putin—unwilling to end the war, raise taxes, or borrow more—is draining fiscal buffers and cutting all spending except defense and social policy. Fiscal strain makes Moscow more dangerous: the Kremlin's likeliest response is escalation (60% probability), and it will almost certainly go hand in hand with increased hybrid and kinetic attacks against NATO countries.

*

Separately, China is shifting from unfair economic competition to economic coercion. EU-China relations are on an escalatory trajectory: a broad political consensus now exists across the EU that China's

economic practices require a political response.

*

China will not abandon industrial subsidies, exchange-rate management, or its export-led growth model. These are core features of its economic strategy, not negotiating positions, and both sides are moving into an action-reaction cycle that upcoming trade talks are more likely to delay than prevent.

*

Read more here . Reach out to discuss: europe@eurasiagroup.net .

Russia, Ukraine, Agriculture—Chart of the Day: Conflict pressures food commodity prices

*

Wheat prices continue to rally, with wheat futures rising sharply to levels not seen since July 2023. Poor harvests in the US and Europe compound the shortfall. Russia and Ukraine account for more than a quarter of global wheat exports. The conflict has damaged export facilities and EG sees further escalation likely, posing an upside risk to prices as export volumes fall (see note , 23 July).

*

Ukraine's Agriculture Ministry has warned that agricultural shipments may drop by more than half, to about 30 million tons in 2026-27; Russia's wheat shipments are on track for the weakest August since 2010 (Bloomberg).

*

Corn is also at a three-year high, while the high fuel prices from Strait of Hormuz disruptions are making biofuels more competitive, pushing soybean prices higher. Benchmark food commodity prices will likely be 10%-18% above February levels by June 2027 as a record El Niño peaks around year-end (see note, 14 August).

*

Reach out to discuss: geoeconomics@eurasiagroup.net .

Bolivia—Paz turns to a technocrat to protect Bolivia's IMF deal

*

President Rodrigo Paz named economist Christian Morales as finance minister on 25 August, replacing former finance minister Jose Gabriel Espinoza following a congressional censure. A technocratic pick with over ten years at the ministry and, most recently, vice minister of treasury and public credit under Espinoza, Morales signals policy continuity.

*

Morales's first task will be securing congressional approval of an International Monetary Fund (IMF) agreement—a prerequisite for IMF board sign-off—but he carries less political heft than Espinoza, making the debate likely noisy and potentially lengthy. His relatively clean slate should help ease legislative tensions.

*

Paz faces continued headwinds, including social unrest over diesel price hikes and fallout from the arrest of advisor Fernando Cerimedo. And while IMF approval remains likely, program implementation will be extremely difficult.

*

Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Mexico—Security vetting of candidates strengthens Sheinbaum’s political hand

*

Mexico's ruling party Morena has unveiled its first gubernatorial contenders for the 2027 midterms—naming candidates in Aguascalientes, Campeche, and Colima—in an effort to avoid internal confrontations and strengthen its territorial organization ahead of the vote.

*

The Ruben Rocha episode will give Sheinbaum greater leverage over candidate selection and raise the bar for politically exposed contenders. Morena faces stronger pressure to vet candidates' security ties, political networks, and potential legal vulnerabilities to avoid creating liabilities for the federal government, including from increased US scrutiny over alleged criminal ties.

*

Sheinbaum aims to use the midterms to continue consolidating power over Morena, weaken rival factions, and advance her agenda. Handpicking candidates with a security-first approach will support those objectives but also risks alienating regional leaders who may view federal vetting as selective targeting.

*

Read more here . Reach out to discuss: mexico@eurasiagroup.net

Upcoming events:

*

27 August: Data: Mexico trade, and US wholesale inventories.

*

28 August: Events: Fed Chair Kevin Warsh will speak at 10:00 AM ET at the Jackson Hole Economic Policy Symposium, BYD earnings; Data: Eurozone consumer confidence, India IP, Japan unemployment, US UMich consumer confidence and nonfarm payroll preliminary revisions.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Astral Betteridge and Blaise Hanson.

closing quip

“Now is the time to start a new discussion about how we can make further use of Russia’s frozen assets for Ukraine’s, and our, benefit. This is the fair and smart way to make sure that Ukraine can defend itself and all of Europe.” —Swedish foreign minister Maria Malmer Stenergard wrote in a letter from a coalition of states to the European Commission, according to the Financial Times on 27 August.

EG Daily Brief

DailyBrief@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any

means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmtbghi8ioq2a07ln0ovtz6oa

[Opt Out](#) | [Customize Email Preferences](#)